

Advisory Fee Proposal

Ex-China Monetization & NewCo Formation — ThalassaX Therapeutics US

Prepared for	Entity	Parent	Date
Stephen Xue, General Manager	ThalassaX Therapeutics US	Chipscreen Biosciences (688321.SH)	August 2026

A two-phase engagement to establish defensible asset valuations, determine the optimal monetization structure, and execute the selected transaction. Phase 1 stands alone and is fully creditable against Phase 2 — so on a completed transaction, the analytical work costs nothing incremental.

RECONCILIATION WITH OUR JULY PROPOSAL

Our July proposal described a retainer-plus-success-fee structure. This proposal separates the valuation and positioning work into a fixed-fee Phase 1 so it can be commissioned on its own, without committing to a transaction mandate. Two points of clarification, since the change should not alter your economics:

ITEM	JULY 2026 PROPOSAL	THIS PROPOSAL
Phase 1 timing	Valuation & Positioning Report, Weeks 1–4	Interim report Week 4 (as promised); full package Week 12
Phase 1 fee	Absorbed into retainer	\$65,000 fixed — 100% creditable against the Phase 2 retainer
Phase 2 retainer	Fully creditable against success fee	Unchanged — \$24,000/mo, fully creditable
Success fee	% of transaction value	4% of upfront + milestones received within 12 months

NET EFFECT ON A COMPLETED TRANSACTION

Identical to July. Every dollar of Phase 1 fee credits against the Phase 2 retainer, and every dollar of retainer credits against the success fee. Ambrosia is paid in full only on a closed deal.

PHASE 1 — VALUATION & STRATEGIC POSITIONING FIXED FEE

\$65,000 FIXED ADVISORY FEE 100% CREDITABLE AGAINST PHASE 2	Week 4 INTERIM REPORT TERM VALIDATION + VALUATION RANGES	Week 12 FULL DELIVERABLE PACKAGE NO ADDITIONAL FEE	2 × \$32,500 AT SIGNING, AND AT WEEK 4 INTERIM DELIVERY
---	--	---	--

Term validation SAMPLE ATTACHED

Your proposed NewCo economics — upfront, milestone range, royalty band, and retained equity — benchmarked against market-clearing comparable transactions. Delivered Week 4.

Asset-by-asset valuation

Risk-adjusted NPV with scenario analysis and real options treatment for each program, using stage-appropriate probability of success and indication-specific commercial assumptions.

Deal benchmarking

Comparable transaction analysis across indication, modality, stage, and territory, drawn from our curated database of 2,500+ licensing transactions.

Structure recommendation

NewCo vs. direct out-licensing vs. hybrid, with economics modeled side by side — jurisdiction, capitalization, and the parent-equity-versus-upfront trade-off quantified rather than asserted.

Asset selection

Which pairing maximizes value, and why — assessed against both of the combinations under consideration in your June materials.

Evidence gap assessment

The specific data, analyses, or regulatory interactions that would most efficiently close the China-origin discount on each asset, with estimated cost and timeline.

Partner universe profile

Target buyer and investor mapping with strategic adjacency scoring, built from our pharma intent model.

Platform narrative

Investor- and partner-ready positioning that resolves the capital-raised and deal-term narrative into a single coherent story.

PHASE 2 — TRANSACTION ADVISORY

RETAINER + SUCCESS

\$24,000 MONTHLY RETAINER 100% CREDITABLE AGAINST SUCCESS FEE	4–6 mo ESTIMATED DURATION OUTREACH TO TERM SHEET	4% SUCCESS FEE ON CLOSE UPFRONT + 12-MONTH MILESTONES
---	--	---

- **Counterparty outreach** — structured engagement with prioritized strategic and financial buyers, each approached with positioning tailored to their specific pipeline gap rather than a generic teaser.
- **Process discipline** — concurrent counterparty management to build the competitive tension that produces a premium.
- **Data room management** — setup, organization, and access control for diligence materials.
- **Q&A coordination** — managing diligence requests across multiple parties without loss of momentum.
- **Term sheet design** — structure optimization and negotiation support through execution.

CREDITING

100% of Phase 1 fees credit against the Phase 2 retainer. 100% of Phase 2 retainer fees paid credit against the success fee at close. If total fees paid during the engagement exceed the calculated success fee, no additional success fee is due.

FEE SUMMARY

COMPONENT	BASIS	AMOUNT
Phase 1 — Valuation & Strategic Positioning	Fixed; credits against Phase 2 retainer	\$65,000
Phase 2 — Monthly retainer (est. 5 months)	Credits against success fee	\$120,000
Phase 2 — Success fee	4% of upfront + 12-mo milestones	Variable
If you stop after Phase 1	Total payable, no further obligation	\$65,000
If the transaction closes	Net payable after all credits	Success fee only

Phase 1 is standalone. ThalassaX receives the full Phase 1 deliverable package regardless of whether Phase 2 proceeds. The decision to engage Phase 2 is made after Phase 1 findings are presented — there is no obligation to continue.

WHY THE ECONOMICS WORK

0.19% PHASE 1 FEE AS A SHARE OF THE \$35M MIDPOINT OF YOUR OWN STATED UPFRONT TARGET	\$200M MEDIAN UPFRONT ACROSS 12 COMPARABLE CHINA-ORIGIN ONCOLOGY OUT-LICENSING TRANSACTIONS	54× RETURN ON THE PHASE 1 FEE FROM A 10% IMPROVEMENT ON A \$35M UPFRONT	20–40% TYPICAL CHINA-ORIGIN VALUATION DISCOUNT — A PERCEPTION GAP, NOT A SCIENCE GAP
--	---	---	--

The attached *Deal Terms Benchmark* is a working sample of the Term Validation deliverable, run on the NewCo economics in your June 2026 materials. It shows that your proposed upfront sits materially below the range at which comparable China-origin oncology assets have cleared — and quantifies what the retained equity stake must be worth for the NewCo route to compensate for that difference.

That question is worth more than this engagement costs. Transactions in this size range typically fall below the engagement threshold of bulge-bracket advisors, which is precisely why assets of this quality are so often underpriced: the analytical rigor that produces a defensible number is usually reserved for transactions ten times larger. This engagement delivers that rigor, augmented by deal intelligence infrastructure large banks do not maintain.

STANDARD TERMS

- Engagement governed by a mutual NDA and advisory agreement. We have reviewed your CDA and are prepared to execute promptly.
- **Data handling.** ThalassaX and Chipscreen materials are used solely for this engagement. Client data is never ingested into our deal intelligence platform, never used to train shared models, and is not accessible to any other client or user.
- All work product is proprietary to ThalassaX upon delivery.
- Ambrosia acts as exclusive transaction advisor for the assets in scope during Phase 2 only. Phase 1 carries no exclusivity.
- Travel expenses, if required, billed at cost with prior approval.
- Either party may terminate with 30 days written notice; fees for completed work remain due.
- Success fee survives termination for 18 months on transactions initiated during the engagement.

NEXT STEP

Countersignature of this proposal and execution of the mutual CDA. Work begins on data room access; the Term Validation interim report follows four weeks later.